Moniko Substation, completed in 2016

Umeme Investor Presentation

June 2017

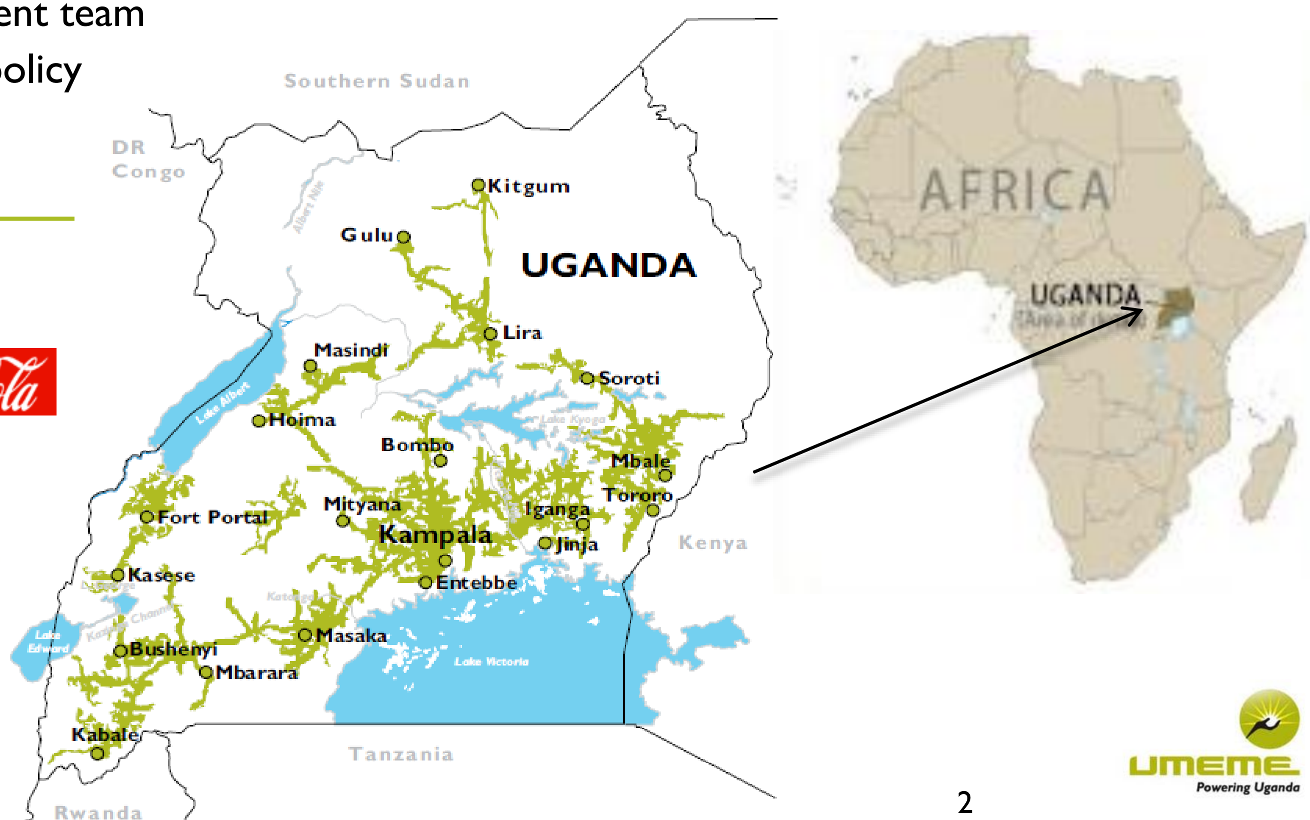
UMEME
Powering Uganda

Umeme – powering Uganda

- Twenty year concession to distribute electricity in Uganda (running to 2025)
- Contracted net **US$ return of 20%** p.a. on investment
- Regulated by the Electricity Regulatory Authority with energy losses target, collections target and operating cost allowance agreed through to 2018
- Single buyer model with Government of Uganda Support Agreement
- Secure cash flow: over 70% revenues from industrial, commercial and government customers
- Diversified investor base with listing on Uganda & Nairobi Securities Exchanges
- Incentivised management team
- 50% dividend payout policy

Blue chip customer base

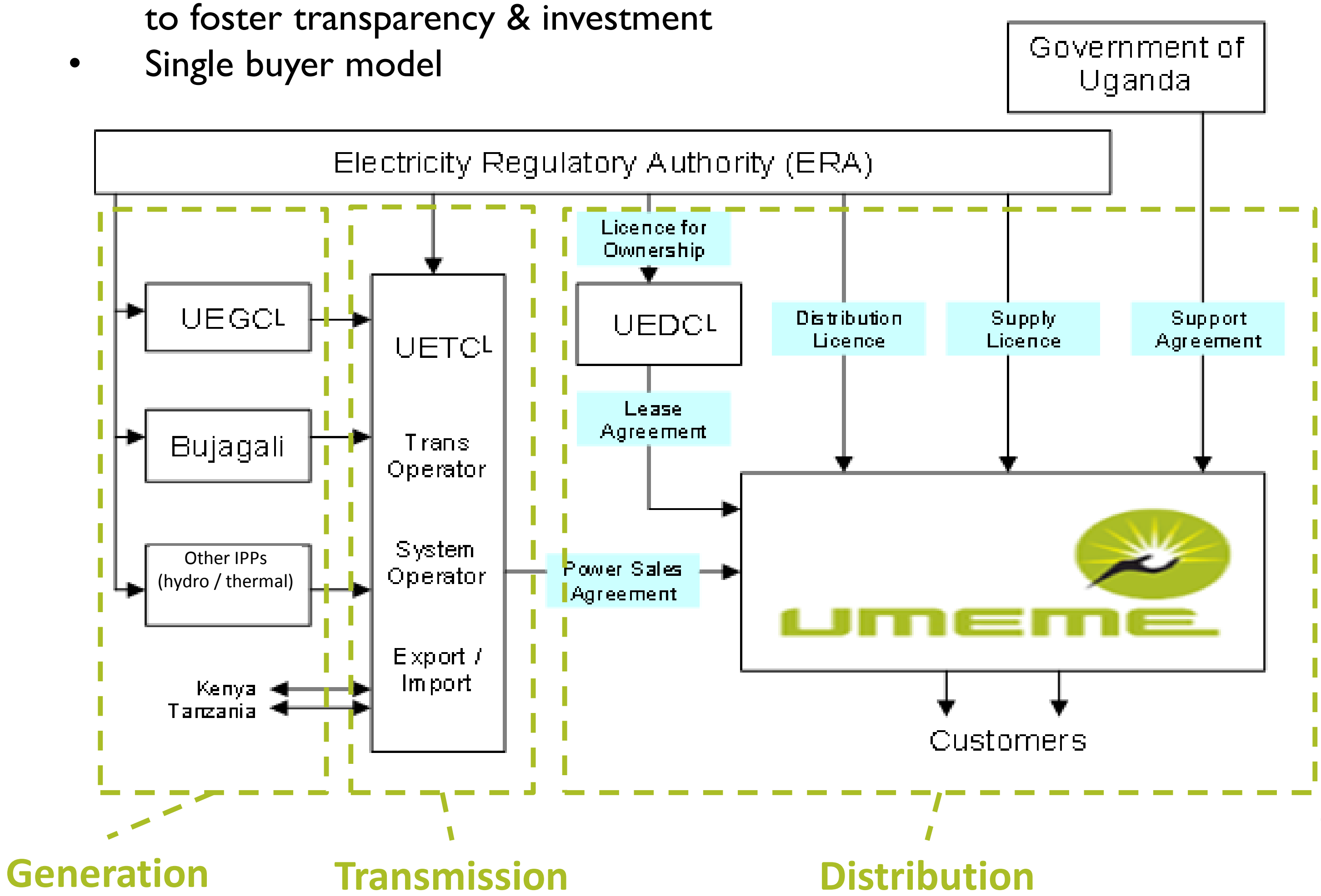
LAFARGE
DIAGEO
SAB MILLER
MTN everywhere you go
Coca-Cola
Unilever
ROOFINGS
EAST AFRICAN BREWERIES LIMITED
TIAN TANG GROUP



umeme Powering Uganda

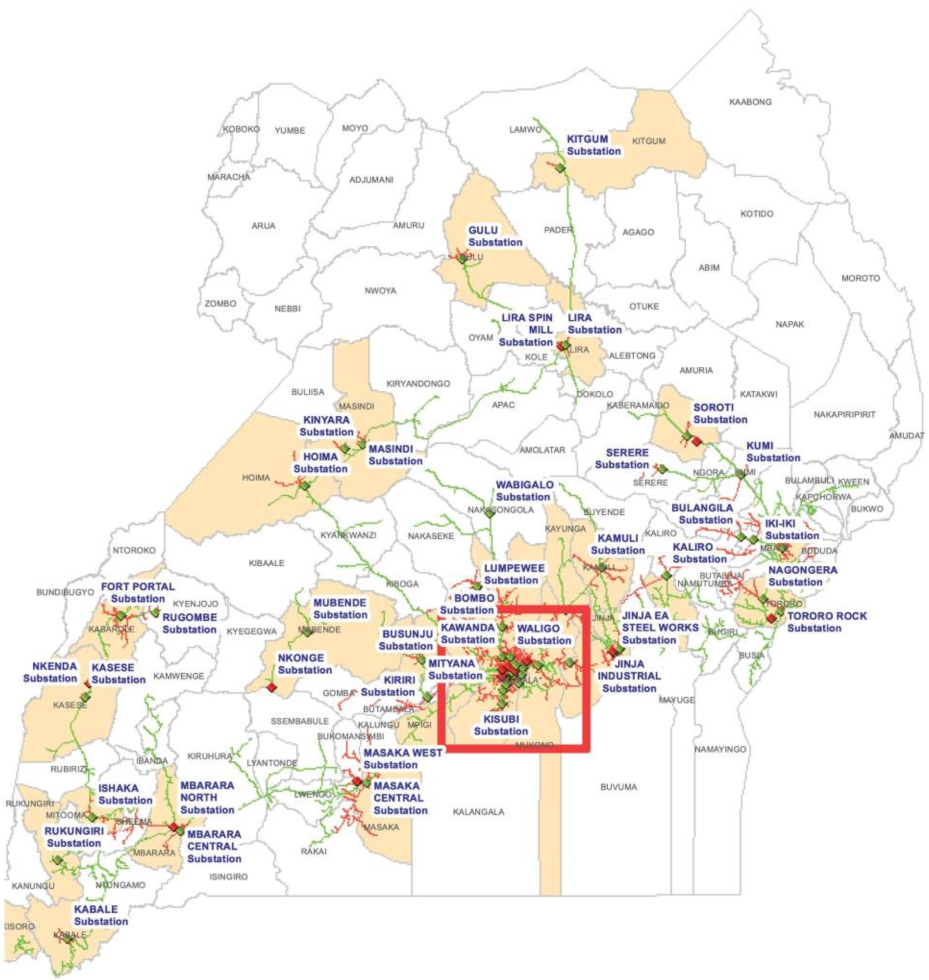
Uganda's power sector

- Uganda's electricity sector was liberalised in 1999, supported by World Bank
- Sector unbundled into generation, transmission and distribution to foster transparency & investment
- Single buyer model

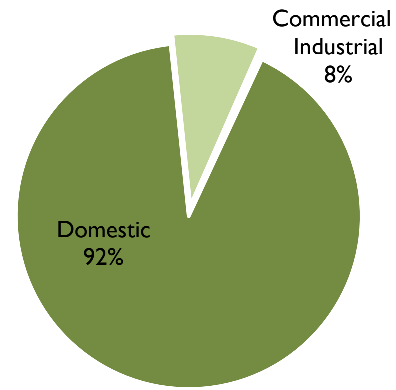


Umeme – Footprint & Customer Mix

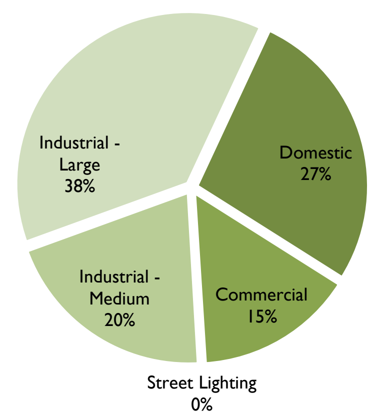
25 district offices across 4 regions



Customer Breakdown (%)



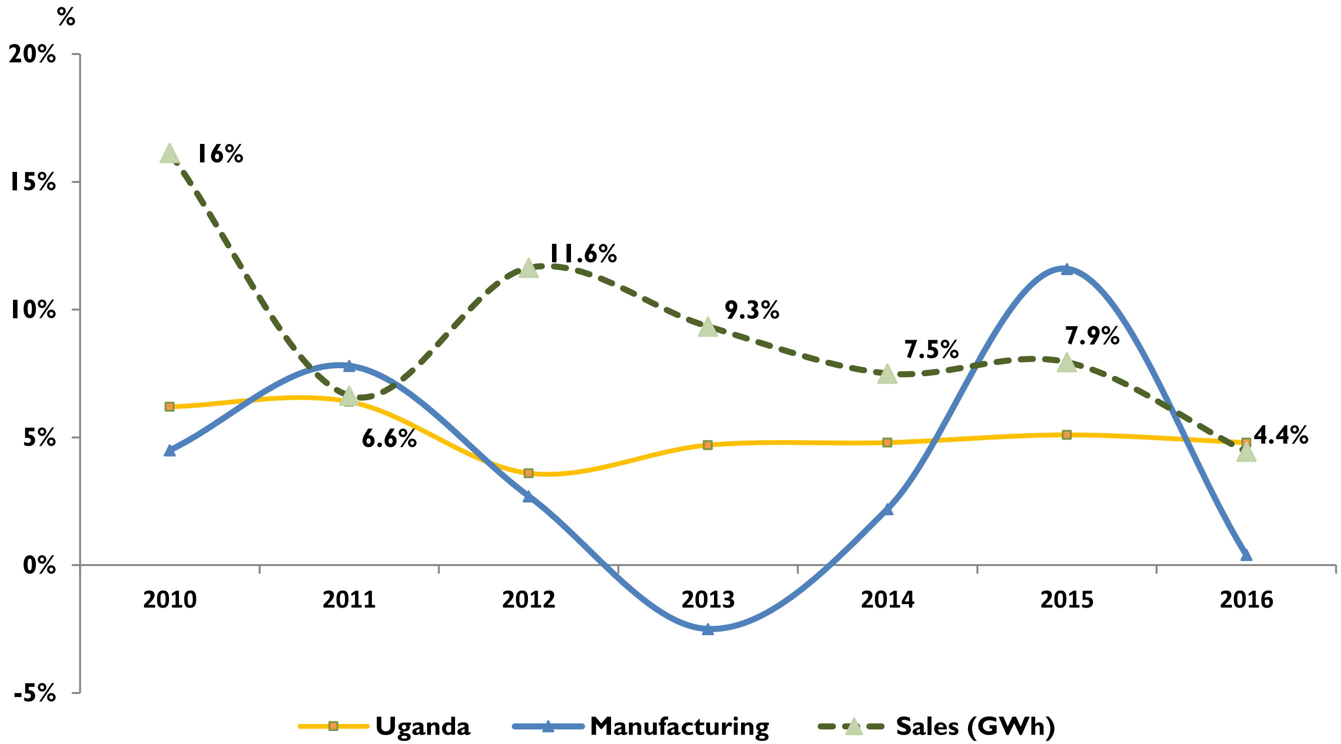
Revenue Contribution (%)



Powering Uganda

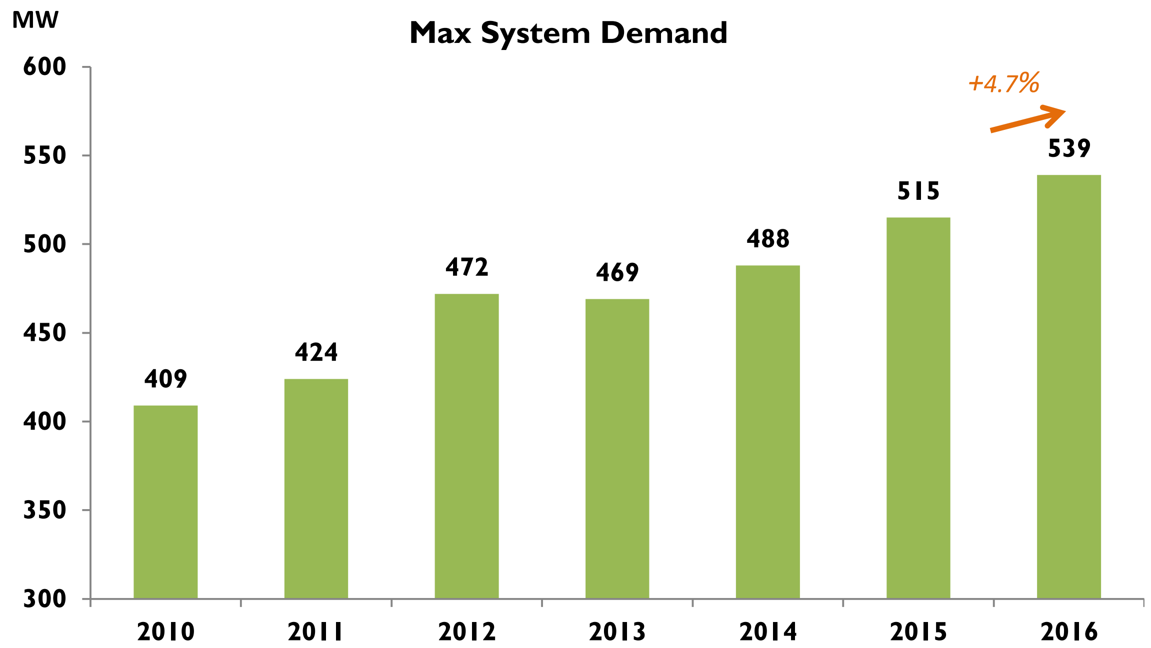
Macroeconomic Environment

Sales growth weakens



- High interest rates & election period slowed down economic activity during Q1 and Q2 2016
- Manufacturing sector grew 0.4%
- Slowest annual GWh sales growth in recent years
- Ferdsult Engineering Services exits electricity distribution business

System Demand Analysis

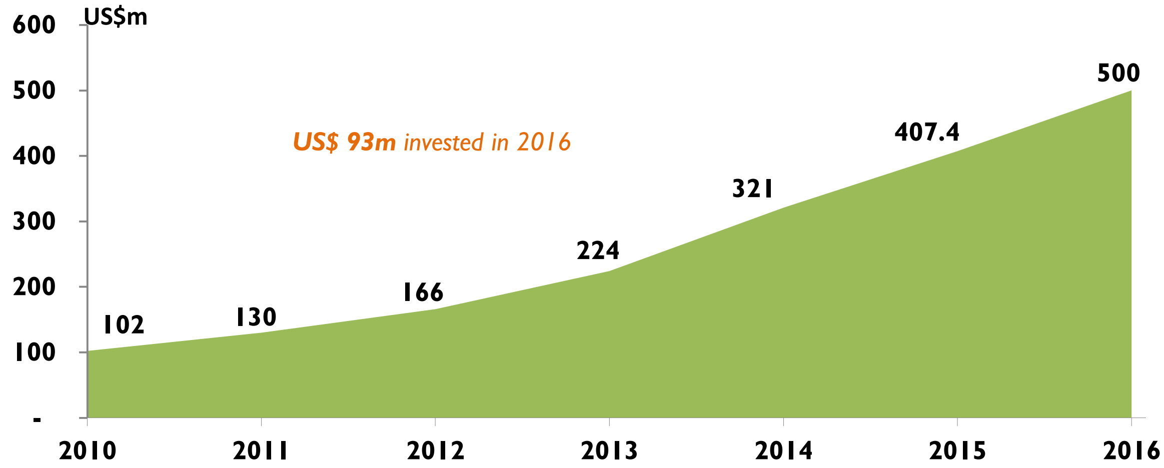


System demand CAGR at 4.7% during the period

Industrialization drive to support demand going forward

Investing Ahead

Cumulative Capital investment



Sample completed projects in 2016

Load Growth
- Moniko Substation (US$ 6.8m)
- Tororo Industrial Park (US $ 1.1m)
- Luzira Portbell substation (US $ 0.6m)

Automated Metering
- 2,500 Connections by end of 2016 Kampala industrial users)
- Improved metering and revenue cycle efficiency

Pre-payment Metering
- Government of Uganda conversions
- New Connections (+157k)
- Post-paid customer conversions (+39k)
- Loss reduction & improved revenue collection

Loss Reduction
- Medium voltage distribution (Kibuli feeder)

UMEME Powering Uganda

Investing Ahead

Government of Uganda Pre-Payment Project

Project implemented in line with government policy to prudently manage fiscal resources while deterring government ministries, departments and agencies from accumulating arrears. The technology is the first of its kind in the world.

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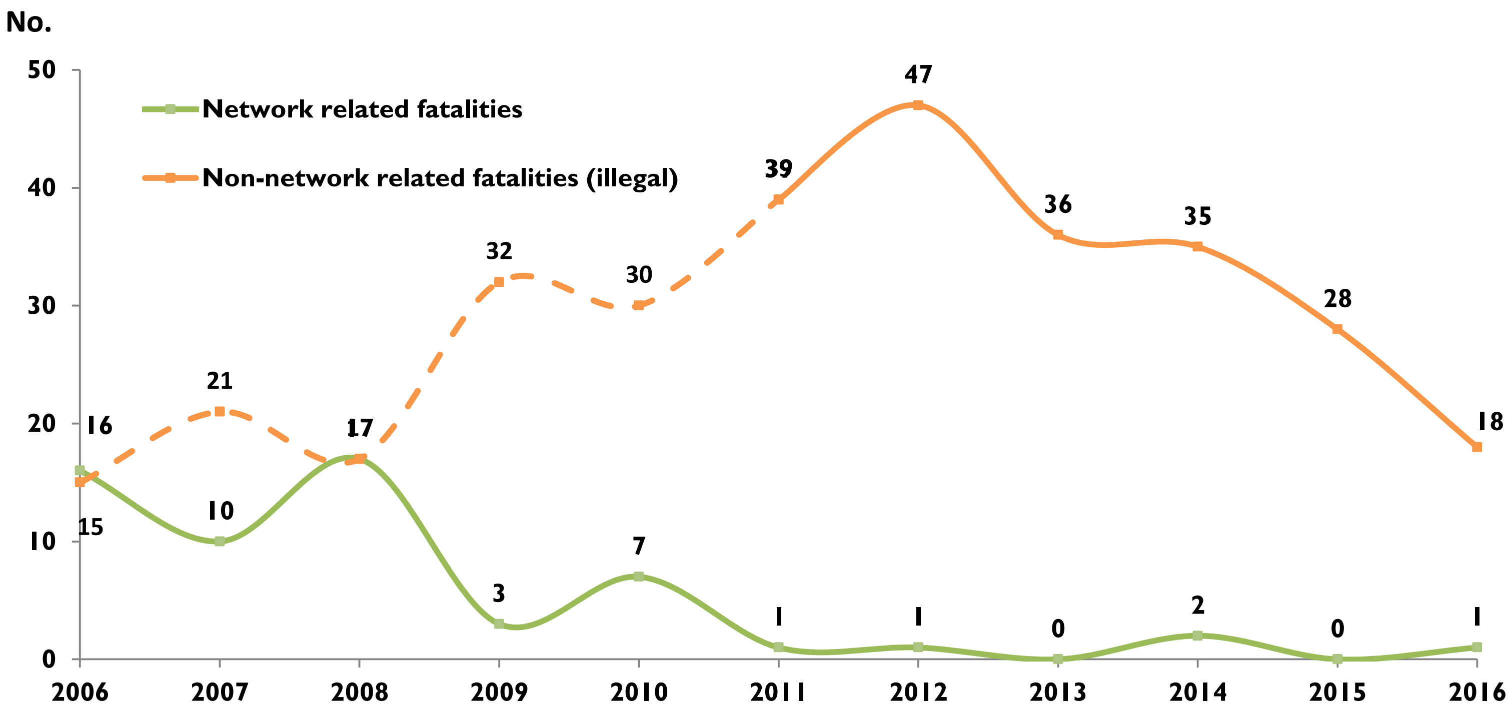
Powering Uganda

Safety

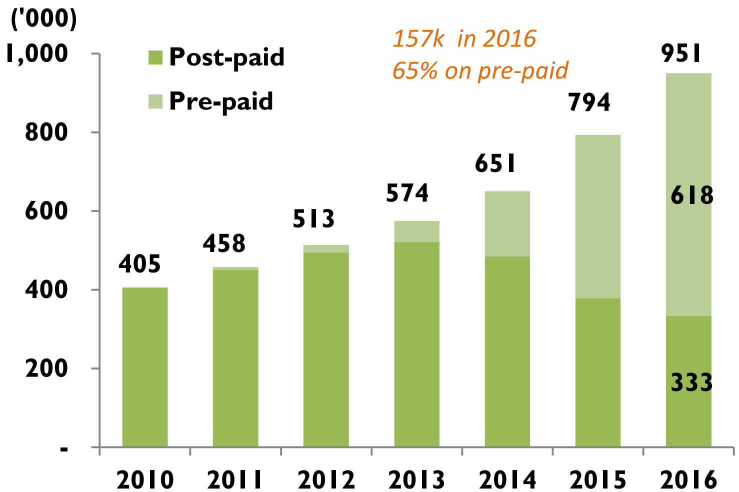
One network related fatality in 2016



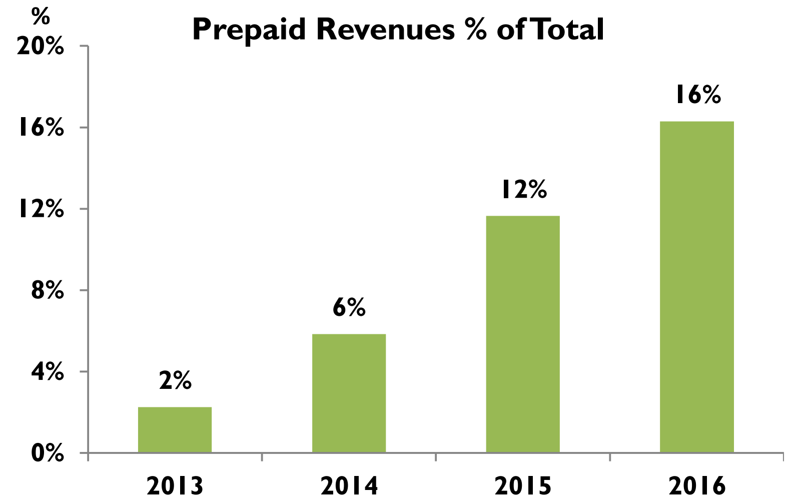
Non-network fatalities incl. power theft, domestic electrics, network interference, way-leaves encroachment and unauthorized operations

Investing in service & growth

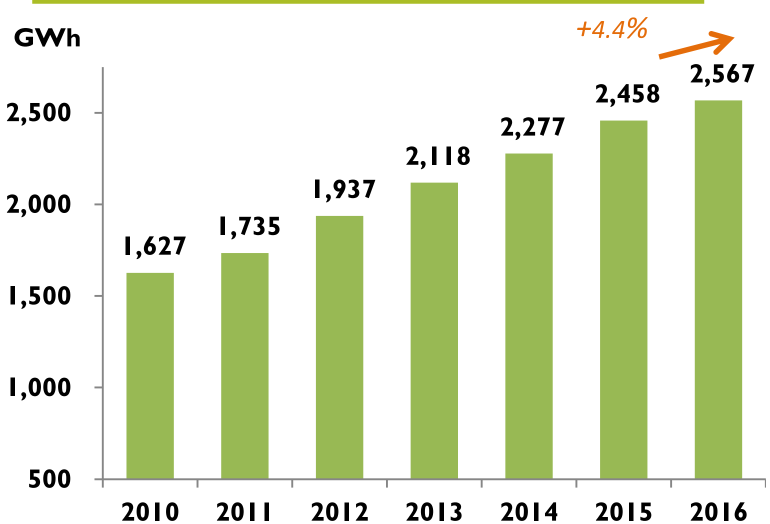
Customer numbers +19.8%



Prepaid Revenue Share



Sales (GWh)

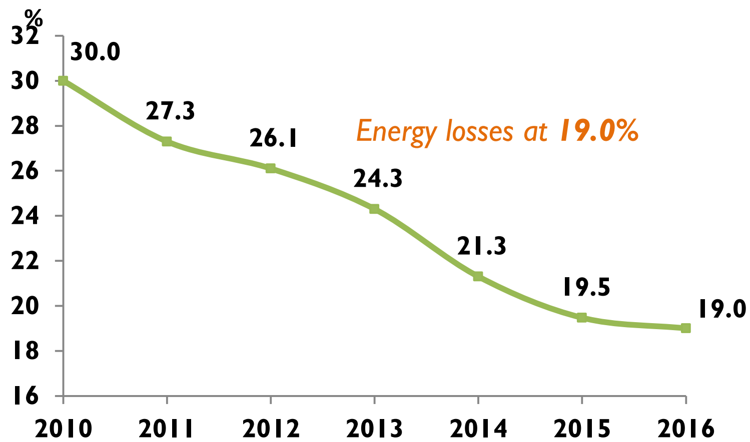


Customers & Sales Growth

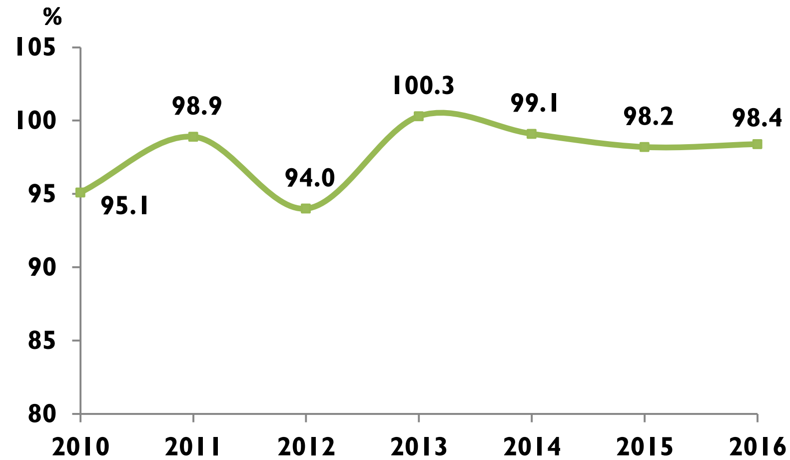
	Customers			Sales		
Category	No.	Share	Growth	GWh	Share	Growth
Domestic	867,671	91.3%	+19.9%	585	22.8%	+2.6%
Commercial	79,476	8.4%	+19.4%	323	12.6%	+4.3%
Street Lighting	306	0.0%	+0.3%	2	0.1%	+3.0%
Industrial - Medium	2,564	0.3%	+5.5%	420	16.3%	+3.3%
Industrial - Large	527	0.1%	+3.1%	1,239	48.2%	+5.9%
Total	**950,814**	**100%**	**+19.8%**	**2,567**	**100%**	**+4.4%**

Regulatory performance

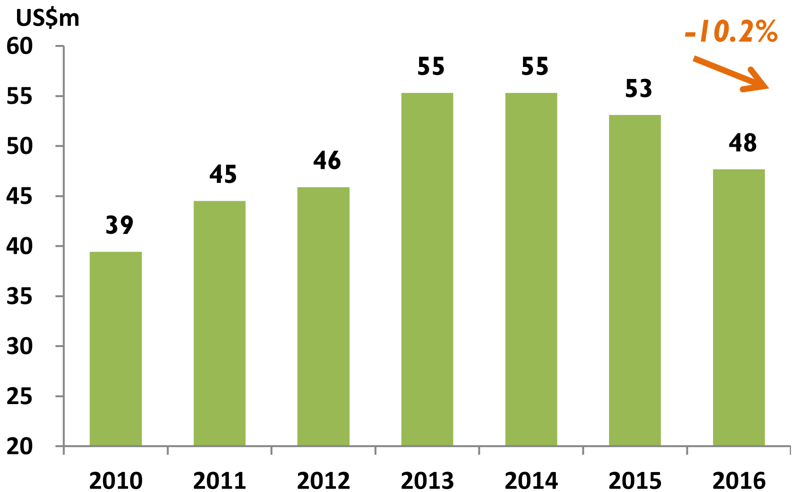
Energy losses



Revenue collection



Operating costs



Regulatory targets*

Tariff parameter	'13	'14	'15	'16	'17	'18
Energy losses (%)	23.5	20.5	18.6	17.1	15.9	14.9
Collection rate (%)	97.3	97.5	97.7	97.9	98.2	98.5
Operating allowance (US$m) **	43.8	44.5	45.9	47.4	48.9	50.4

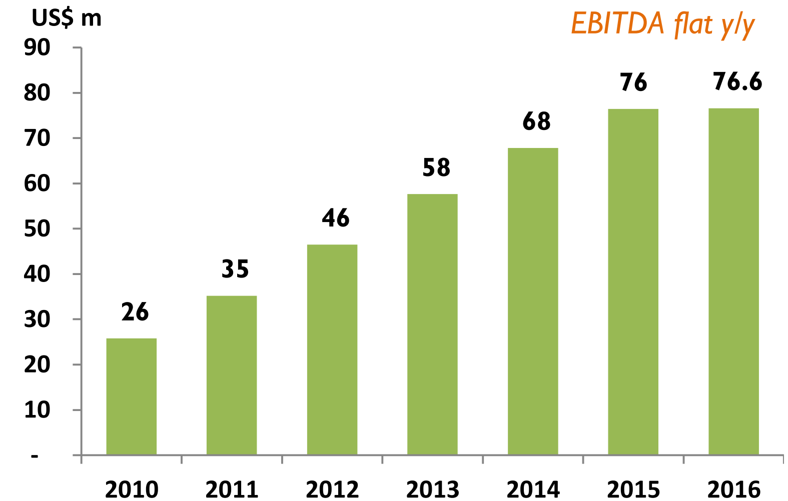
** Umeme financial year (Jan-Dec). Tariff year runs from 1st March*
*** Allowance is adjusted annually for international and local inflation*

Financial performance

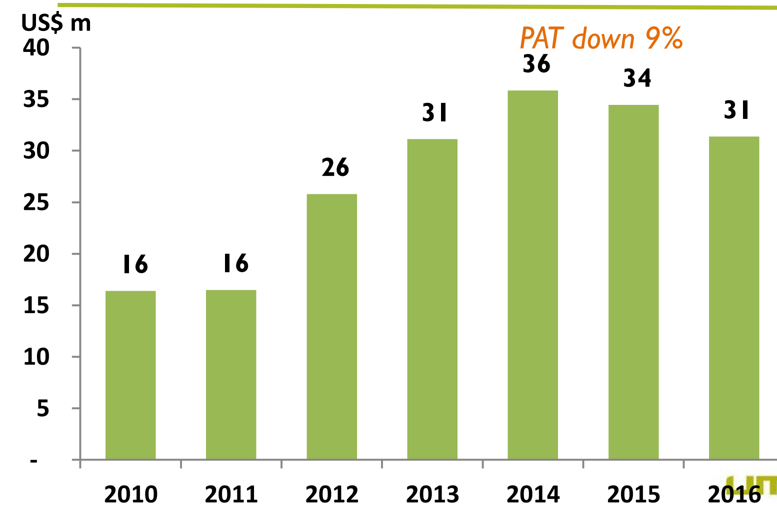
Financials Summary

US$ m, Ushs bn		2016	2015	%ch
Income Statement		***Figures rounded***		
Revenue	**US$**	**383**	**358**	**+7%**
	Ushs	*1,312*	*1,161*	*+13%*
Cost of Sales	**US$**	**(258)**	**(229)**	**+12%**
	Ushs	*(882)*	*(743)*	*+19%*
Gross Profit	**US$**	**126**	**129**	**-2%**
	Ushs	*430*	*418*	*+3%*
Operating Costs	**US$**	(48)	(53)	-10%
	Ushs	*(164)*	*(172)*	*-5%*
EBITDA	**US$**	**77**	**76**	**+0.3%**
	Ushs	*262*	*248*	*+6%*
Finance Costs (ex lease)	**US$**	**(13)**	**(9)**	**+36%**
Profit Before Tax	**US$**	**45**	**50**	**-10%**
Tax Rate	%	*34%*	*34%*	
Profit After Tax	**US$**	***31***	***34***	***-9%***
	Ushs	*100*	*106*	*-6%*
Financial position at		**2016**	**2015**	
Total Assets	US$	606	526	+15%
Shareholders Equity	US$	153	149	+10%
Net Debt	**US$**	**201**	**142**	**+41%**
Per share data (Ushs)		Ushs	Ushs	
Earnings		61.0	65.0	-6%
Total Dividend		18.8	35.2	-47%
Payout Ratio		31%	54%	

EBITDA (US$)



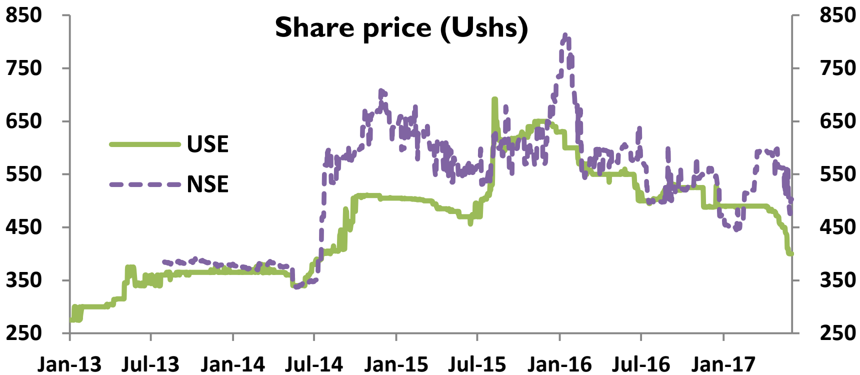
Profit after tax (US$)

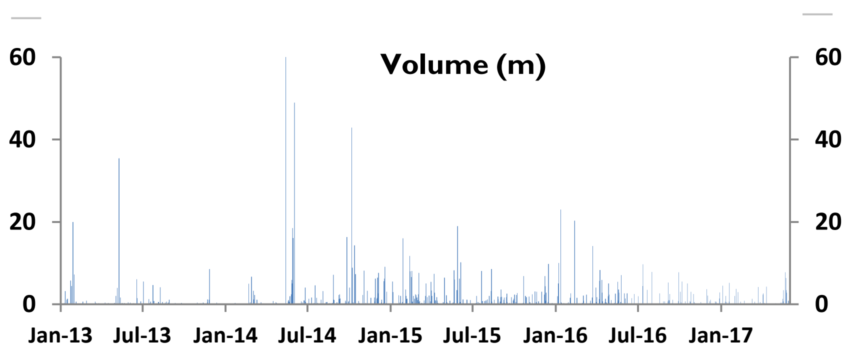


FY10-14 adjusted for unrealized FX losses

Trading update

Market cap US$180m at Ushs 400 share price





	Dec-16 (1)	At IPO
P/E	*5.7x*	*10.8x*
EV/EBITDA (2)	*5.0x*	*3.9x*
P/(Buyout amount less net debt) (3)	*0.7x*	*1.2x*
Dividend Yield	*4.7%*	-
Return on unrecovered investments (US$) (4)	*10%*	*16%*

Notes

(1) Actual 12 months to 31st December 2016

(2) EBITDA excludes finance income/cost & FX gain/loss. Includes interest on bank deposits

(3) Indicative assuming GoU termination premium of 20% of unrecovered investment

(4) Prior year unrecovered investment base. Net of financing costs

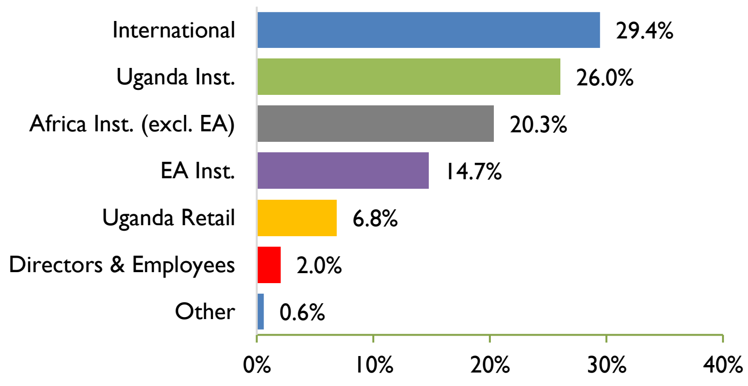
Trading update

Shareholder Summary

No.	Top 20 Shareholders (May 2017)	% Held
1	National Social Security Fund Uganda	23.2%
2	Allan Gray*	7.1%
3	Kimberlite Frontier Africa Master Fund	7.1%
4	Investec Asset Management Africa Fund	4.7%
5	Utilico Emerging Markets Limited	4.3%
6	The Africa Emerging Markets Fund	3.5%
7	International Finance Corporation	2.8%
8	Coronation Global Opportunities Fund	2.6%
9	Duet Fund	2.5%
10	Kattegat Trust	1.8%
11	Boutique Collective Investments	1.6%
12	Imara SP Reid	1.4%
13	Conrad N Hilton Foundation	1.1%
14	Vanderbilt University	1.1%
15	T.Rowe Price	1.1%
16	Kuwait Investment Authority	1.0%
17	Central Bank of Kenya Pension Fund	0.9%
18	William Byaruhanga	0.8%
19	Old Mutual	0.8%
20	Frontier Market Opportunities Master Fund	0.7%
	Other	30%

Aggregated accounts

Shareholder Distribution (May 2017)



- *Actis divestiture completed Dec 2016*
- *NSSF Uganda largest shareholder*
- *Employee holdings supported by Long Term Incentive Plan*

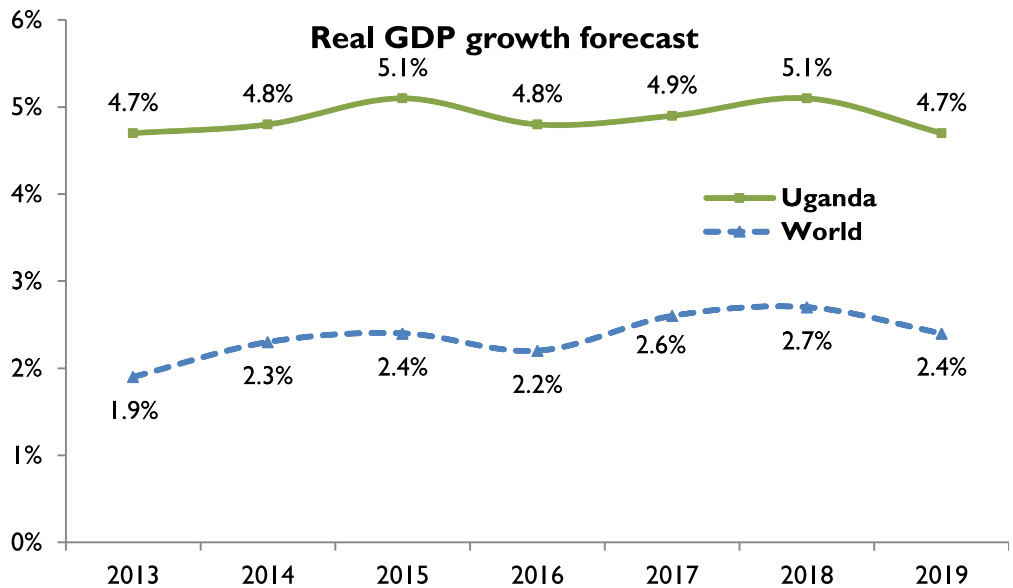
Summary & Outlook

- Focus on technical & commercial losses reduction
- Recognition of investments
- Resolution of Amendment 2&4
- Concession Renewal

Appendices

- Appendix 1: Uganda's macroeconomic outlook
- Appendix 2: Generation Pipeline
- Appendix 3: Generation overview
- Appendix 4: Tariff analysis
- Appendix 5: Karuma & Isimba Projects
- Appendix 6: UETCL Transmission Backbone

Appendix 1: Uganda's macroeconomic outlook

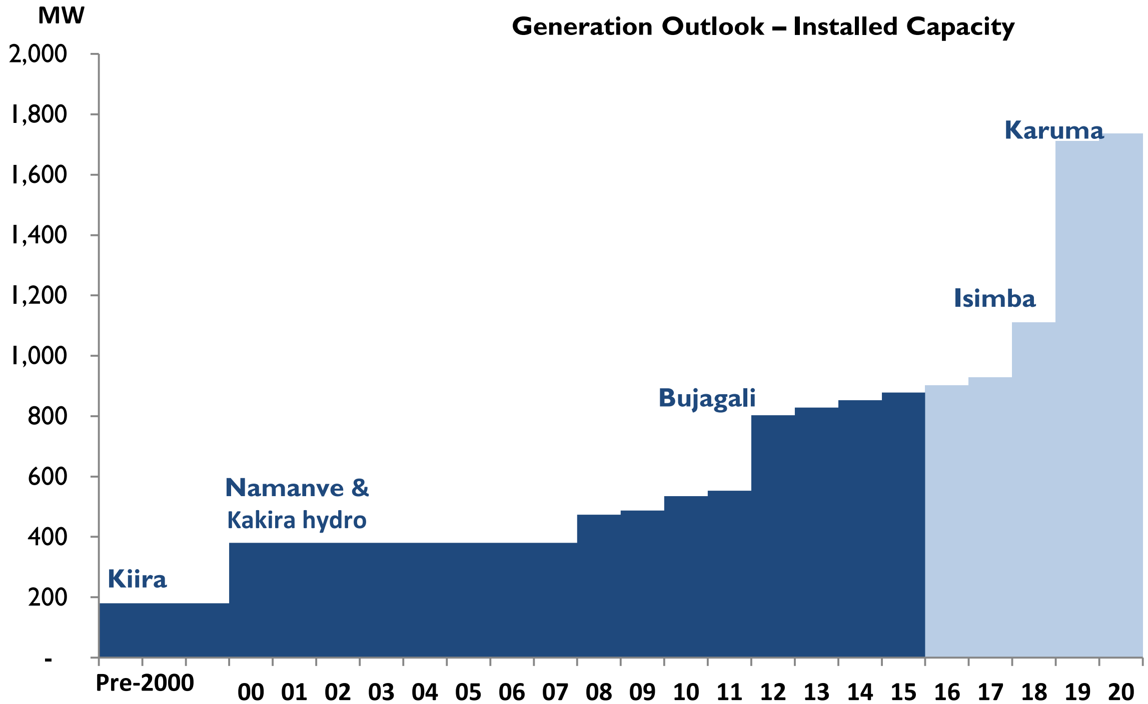


- "High commercial lending rates and election-driven uncertainty during Q1 dragged down growth in 2016. Real GDP growth is projected to average 5.1% within 2017-2021.
- Public investments in infrastructure projects in the power and transport sectors will be key drivers on growth in 2017-18. Government expects the oil sector to drive growth in the medium term with production targets of 200k bpd. by 2020"

Source: Economist Intelligence Unit (March 2017)

Appendix 2: Generation Pipeline

Generation Pipeline +1000MW



Large-hydro:

- ✓ Karuma - 600 MW (52% completed)
- ✓ Isimba - 183 MW (65% completed)
- ✓ Agago-Achwa – 83 MW
- Ayago - 600MW
- Orianga - 400MW
- Kiba - 290MW
- Agago-Achwa – 83 MW
- Muzizi - 44MW

Mini-hydros (GET-FIT): 156.5 MW inc.

- ✓ Siti I – 5 MW
- ✓ Waki – 4.8 MW
- ✓ Lubilia – 5.4 MW
- ✓ Rwimi – 5.5 MW
- ✓ Muvumbe – 6.5 MW
- ✓ Nyagak 3 – 5.4 MW

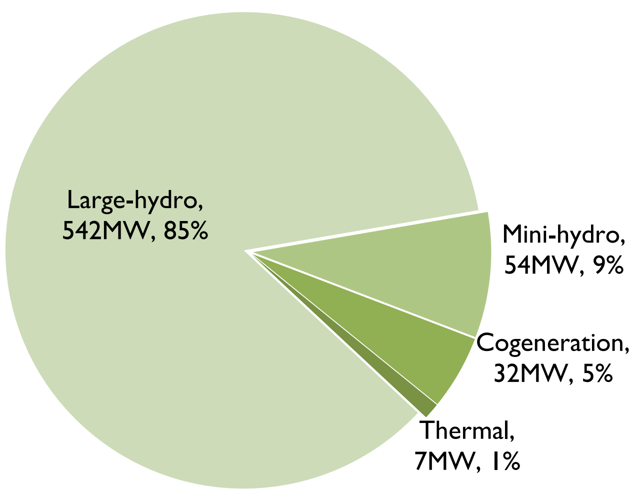
Other

- ✓ Soroti Solar – 10 MW
- Tororo Solar – 10 MW
- Siti II - 16.5 MW
- Kikagati – 16 MW
- Kabale Peat plant 33 MW
- Kabale geothermal 30MW

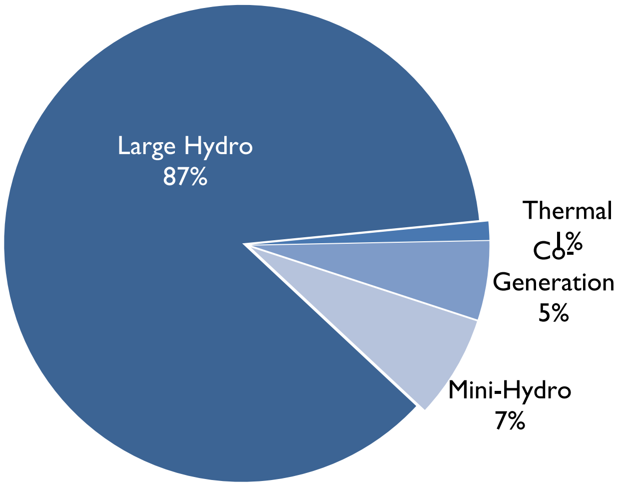
Source: Umeme, UETCL, MEMD

Appendix 3: Generation overview

Energy supply mix (Effective Generation)



Average Monthly Dispatch



Source: Umeme, UETCL, MEMD

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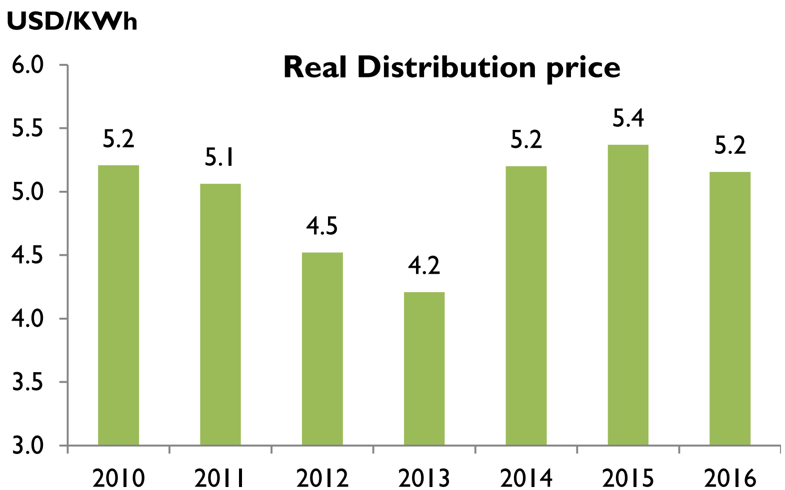
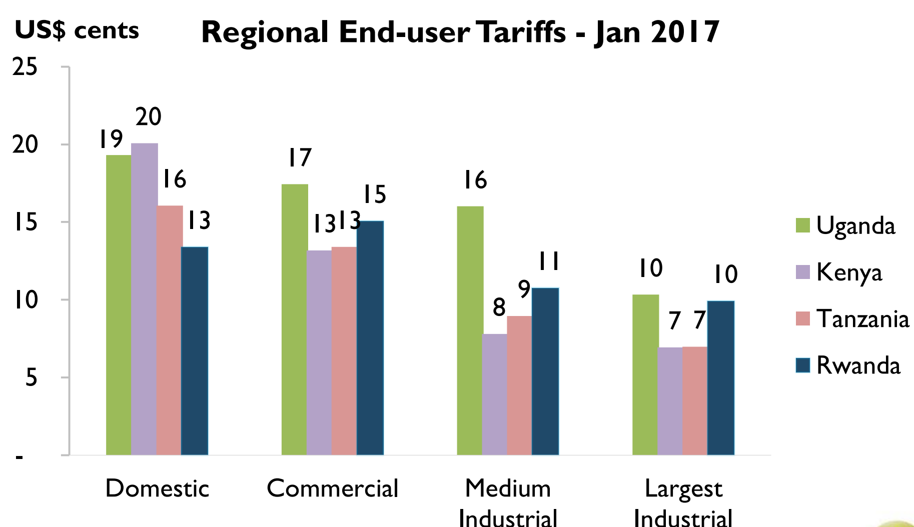
Appendix 4: Tariff analysis



Umeme distribution price is approx. 30% of end-user tariff

Uganda's tariffs in line with Kenya's at Large Industrial category



Sources: Electricity Regulatory Authority Uganda, Electricity & Water Utilities Regulatory Authority Tanzania, Electricity Regulatory Commission Kenya, EWSA Rwanda. Data collected as at January 2017 and converted using using Bank of Uganda official COMESA exchange rates to US$

Appendix 5: Karuma & Isimba Projects

Isimba Hydropower project
Status: 65%
Commissioning: Q3 2018

Karuma Hydropower project
Status: 52%
Commissioning: Q1 2019

Appendix 6: UETCL Transmission Backbone